Project Calder — Board Discussion Materials

Proposed acquisition of Calder Fluid & Flow Systems by Meridian Industrial Supply

Prepared for the Board of Directors of Meridian Industrial Supply, Inc.

All companies, financial data and market data in this memorandum are fictional and were created for a modelling exercise. Figures in US$ millions except per-share data. Last reported fiscal year FY24A (31 December 2024); assumed close 31 December 2025.

1. Summary and recommendation

Meridian Industrial Supply (NYSE: MIDS) distributes MRO consumables, fasteners, power transmission components and fluid-handling products through roughly 230 branches, on revenue of $6.2bn. It proposes to acquire Calder Fluid & Flow Systems (NASDAQ: CFFS), a $2.6bn flow-control specialist, in an all-stock deal at a fixed exchange ratio of 1.4000x.

Metric	Value
Implied offer price per share	$48.30
Premium to undisturbed price of $37.80	27.8%
Purchase equity value	$2,697.8
Purchase enterprise value	$2,984.3
Purchase TEV / FY25E EBITDA	9.4x
Pro-forma ownership (Meridian / Calder)	60.3% / 39.7%
Run-rate cost synergies by Year 3 (FY28E)	$95.4

We support the acquisition. We do not support the way management proposes to pay for it.

The strategic case holds up, and $48.30 is a defensible price on every methodology we ran. The problem is the currency. Meridian's shares trade at a meaningful discount to its peer group, so funding the deal entirely in stock hands Calder's shareholders 39.7% of the combined company in exchange for roughly a third of its earnings. On a fully loaded basis the transaction dilutes Meridian's EPS until FY28. Fund most of it with cash and debt instead and that dilution largely disappears.

2. Will the deal be accretive to EPS?

Not in the first year, and not on any basis we would put in front of shareholders. Management's expectation of first-year accretion depends on excluding integration costs, transaction costs and purchase accounting. Strip those out as management does and the deal is roughly break-even in Year 1, not accretive.

Combined year	Fully loaded	Management basis
FY26E (Year 1)	(10.8%)	0.3%
FY27E (Year 2)	(2.6%)	4.0%
FY28E (Year 3)	3.7%	6.5%
FY29E (Year 4)	4.5%	7.1%
FY30E (Year 5)	4.6%	7.0%

Three things drive the Year 1 dilution. Meridian issues 78.2m new shares, a 66% increase in its share count, to buy a business contributing about 34% of combined earnings. Purchase accounting adds $27.5m a year of non-cash amortisation on the asset write-ups. And the cost of capturing the synergies arrives before the synergies do: Meridian spends $63.6m in FY26 to capture $57.5m of savings, so the programme is a net drag in the year it starts.

The cost-of-capital test says the same thing more simply. Paying in stock costs Meridian 9.14% after tax, which is just its own earnings yield. Calder returns 7.39% on the price being paid. Buying an asset that yields less than your cost of capital is dilutive before synergies, and the synergies do not arrive fast enough to close that gap in Year 1.

3. Is the price right?

Yes. If anything Meridian is buying well, and Calder's board has grounds to argue for more.

Methodology	Indication
Trading comparables — median TEV / FY25E EBITDA	10.9x vs. 9.4x offered
Precedent transactions — median TEV / LTM EBITDA	10.6x vs. 9.4x offered
DCF, perpetuity growth (10.57% WACC, 2.25% terminal growth)	$47.66 per share
DCF, terminal multiple (8.5x FY34E EBITDA)	$51.65 per share

The DCF is the most useful of the four. Discounting Calder's cash flows at 10.57%, built from a re-levered peer beta on a 4.25% risk-free rate, gives $47.66 a share against an offer of $48.30. Meridian is paying almost exactly what we think the business is worth on its own, which means it keeps essentially all of the synergy value rather than paying it across to Calder's holders. Just under half the implied enterprise value sits in the terminal value, which is reasonable for a mature distributor.

The deal also prices below both the trading comps and the precedent transactions, which is unusual for a control transaction at a 27.8% premium. Calder simply trades cheaply relative to its peers.

We would not raise the exchange ratio. The contribution analysis is what constrains us: across ten metrics the median implied ratio is 1.10x against the 1.40x offered, and the earnings-based metrics cluster between 1.07x and 1.16x. Calder's holders would own 39.7% of the combined company while contributing roughly 34% of EBITDA and 35% of net income. Meridian is already paying well above what the contribution analysis supports.

Meeting the precedent median of 10.6x would mean about $55 a share, or an exchange ratio near 1.60x. At that level the deal stops working: Year 3 accretion turns negative even with synergies delivered in full.

4. Should this be an all-stock deal?

No, and this is our main objection.

Meridian trades at 8.3x FY25E EBITDA against a peer median of 10.9x. Issuing shares at a discount to the peer group to buy an asset priced at 9.4x means paying with the cheapest-looking and most expensive currency available. Stock is the right consideration when your shares are richly valued. Meridian's are not.

Nor does the balance sheet force the issue. At close the combined business holds $582m of cash against a $200m operating minimum, and a 4.0x leverage ceiling supports roughly $1.8bn of acquisition debt. Running the alternative structure produces a very different result:

	100% stock	Cash / debt / stock mix
Cash consideration	—	$382.4
New acquisition debt	—	$1,773.2
Stock consideration	$2,697.8	$542.2
After-tax cost of acquisition capital	9.14%	6.09%
FY26E EPS accretion / (dilution)	(10.8%)	(0.3%)
FY27E EPS accretion / (dilution)	(2.6%)	14.1%
FY28E EPS accretion / (dilution)	3.7%	25.1%
Net debt / EBITDA at close	1.0x	3.3x
Net debt / EBITDA by FY30E	(1.2x)	0.8x

The mixed structure is break-even in Year 1 where the all-stock deal loses 10.8%, and it is strongly accretive from Year 2. Debt at a 7.75% coupon costs 5.9% after tax against a 9.1% cost of equity, and Meridian keeps all of the synergy value rather than sharing 39.7% of it.

Leverage is the trade-off, and in this rate environment it is not trivial. Opening at 3.3x net debt is well above Meridian's current 1.8x and would probably draw a negative ratings action. The acquisition debt also prices at 7.75%, around 200bp wide of the existing capital structure. We would therefore stop short of the modelled maximum. Something closer to half cash and debt, half stock captures most of the benefit while opening nearer 2.5x. The structure switch in the model lets the Board test the trade-off directly.

5. Are the synergies credible?

We think so, and we have been deliberately careful not to flatter them.

The cost synergies are built from headcount rather than assumed as a percentage of the cost base. Delivering $95.4m by Year 3 requires 1,160 roles to come out, 660 at Meridian and 500 at Calder, against a combined workforce of about 21,550. That is a 5.4% reduction, concentrated in duplicated corporate functions and in branches where the two networks overlap. For a distribution merger with this much geographic overlap it sits comfortably inside what comparable deals have achieved, and below the 6–8% acquirers often underwrite.

Costs to achieve are set at 100% of the Year 3 run-rate saving, two-thirds of it in Year 1. That is a full provision for severance, branch closures and systems migration, recognised early.

Revenue synergies contribute $32.1m of operating income by Year 3. We restricted them to cross-selling Calder's valve and pump lines through Meridian's existing branches, and costed them at Calder's current gross and operating margins so no margin benefit is assumed on incremental volume. Engineered assemblies and instrumentation are excluded because they need specification selling. The model can switch revenue synergies off entirely, and doing so changes none of the conclusions here.

Delivery risk is the real exposure. The present value of the synergies is $1,007m against a premium of $596m, so the coverage is 1.7x. That is adequate rather than comfortable, and it erodes quickly. At the proposed exchange ratio the deal is dilutive even in Year 3 if less than about 62% of the planned savings come through. What matters most here is execution, not price.

6. Does the deal create value for Meridian shareholders?

Yes, though considerably less than a headline re-rating analysis suggests, and not in an all-stock structure before Year 3.

Applying the 11.96x average multiple of larger diversified industrial platforms to the combined entity implies $22.55 a share of value creation. We would treat that number with real caution. It assumes the market immediately awards Meridian a multiple four and a half turns above where it trades today, and even after the merger the combined company is a fraction of the size of the platforms it is being compared with.

The measure we would defend holds the multiple constant. Valuing Meridian standalone and the combined entity in FY28E at the same 7.3x multiple, the deal creates $3.65 a share, or 8.1%. That comes purely from synergies net of the shares issued to acquire them, and it is the figure we would take to shareholders.

The transaction analysis agrees. The deal returns 16.2% against a 10.4% cost of capital, a spread of 5.8 points, and the IRR stays above the hurdle across every purchase price we tested and down to roughly 25% synergy delivery.

The ownership split remains the weak spot. Calder's holders receive 39.7% of a company they contribute about 34% of the EBITDA to, and they participate in synergies generated largely by reductions at Meridian. That is a consequence of the all-stock structure, and the financing change in Section 4 substantially fixes it.

7. What would change our view

- **Synergy delivery below 62%.** The variable that decides this deal. Below that level the transaction dilutes EPS even in Year 3 and most of the value creation goes with it.
- **A competing bidder.** At 1.40x Meridian is already above the contribution-implied ratio. We would not chase much past 1.45x.
- **A weaker industrial cycle.** Both forecasts assume steady mid-cycle demand with reshoring and infrastructure support, and no recession. A downturn compresses the synergy base, and under the leveraged structure would leave the combined company above 3.5x.
- **The cost of acquisition debt.** At 7.75% the debt component is far dearer than it would have been in the last cycle. Another 100bp of widening removes roughly a third of the advantage the mixed structure has over all-stock.
- **Ratings guidance.** If the agencies signal that anything above 2.5x triggers a downgrade, the cash and debt component should come down and the stock component up.

Appendix — How the model is built

The workbook runs to twelve tabs. **Cover** carries the transaction snapshot, the colour convention and the integrity checks. **Acquirer** and **Target** hold full three-statement models for FY24A–FY30E on a shared row structure, which lets the combined statements be direct sums. **Merger_Model** holds the deal assumptions and switches, financing capacity, sources and uses, purchase price allocation, the combined income statement and cash flow, EPS accretion and two sensitivity grids. **Synergies** builds cost synergies from headcount and revenue synergies by segment, then compares the present value of both against the premium paid. **Combined_BS** does the purchase-accounting combination at close. **DCF_IRR**, **WACC**, **Pub_Comps** and **MA_Comps** support the valuation, and **Contrib** and **Value_Creation** address the exchange ratio and shareholder value.

A few conventions are worth flagging. SG&A is modelled as headcount times cost per employee, which is what lets the synergy schedule turn a reduction in force straight into dollars. Interest runs on average debt balances and interest income on opening cash, so nothing in the model is circular and no iterative calculation is needed. Operating lease assets and liabilities are held equal and kept out of the enterprise value bridge, since EBITDA is presented post-ASC 842. Buybacks are switched off from FY25E so the pro-forma share count moves only with deal consideration, and the standalone forecasts assume no further bolt-on acquisitions so that segment growth is not double-counted. Rate assumptions reflect the current environment: a 4.25% risk-free rate, blended coupons of 5.75% and 6.25% on the two existing capital structures, 3.50% on surplus cash, and acquisition debt priced 200bp wide of Meridian's existing cost.

Some things are deliberately simplified. The combined balance sheet is struck at close and not projected forward. Two historical years were condensed into one, with FY24A working capital movements taken as reported actuals, and the FY24A opening balance sheet is tied out using Other Long-Term Liabilities as a single balancing figure, which is flagged on the face of the model. Procurement synergies are excluded altogether, even though a $9.7bn combined distributor would normally underwrite 50–150bp of buying-power benefit on COGS; every synergy in this model is either headcount or cross-sell.

On integrity: both standalone balance sheets and the pro-forma opening balance sheet balance to zero in every period, balance sheet cash ties to closing cash on the cash flow statement throughout, sources equal uses, and the workbook recalculates without errors under both financing structures. Hardcoded inputs are blue, cross-tab links green, calculated cells black. The file contains no external links.